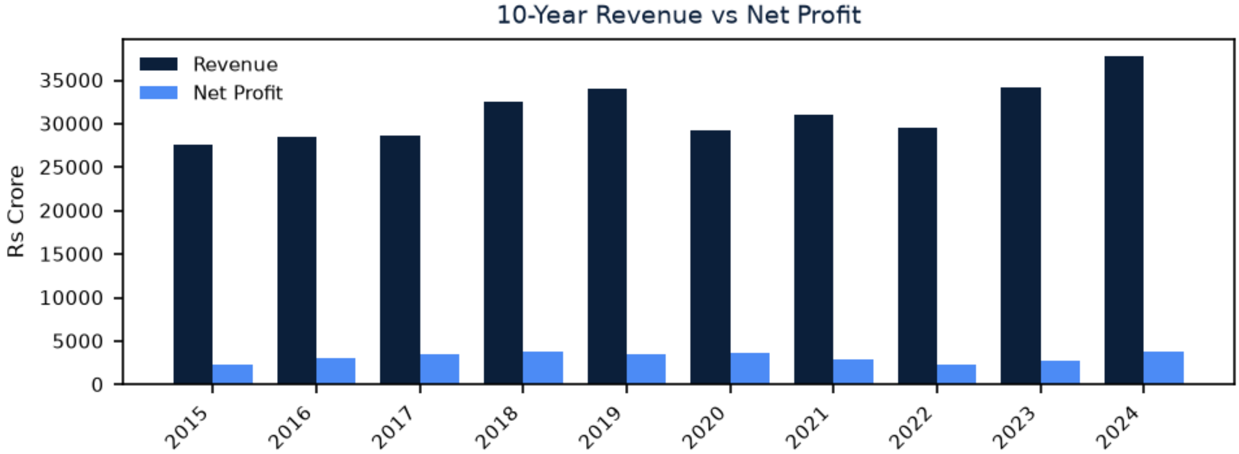
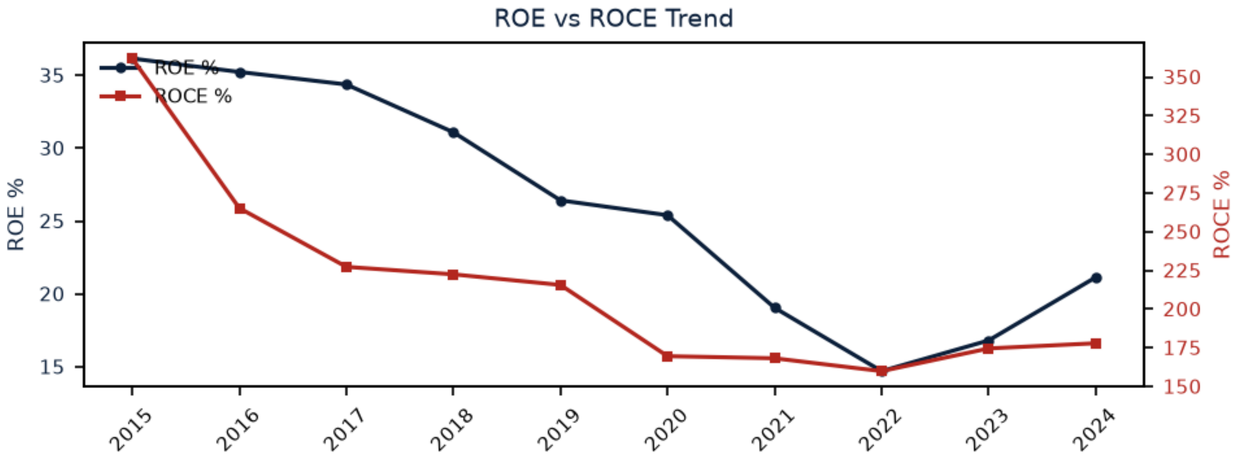
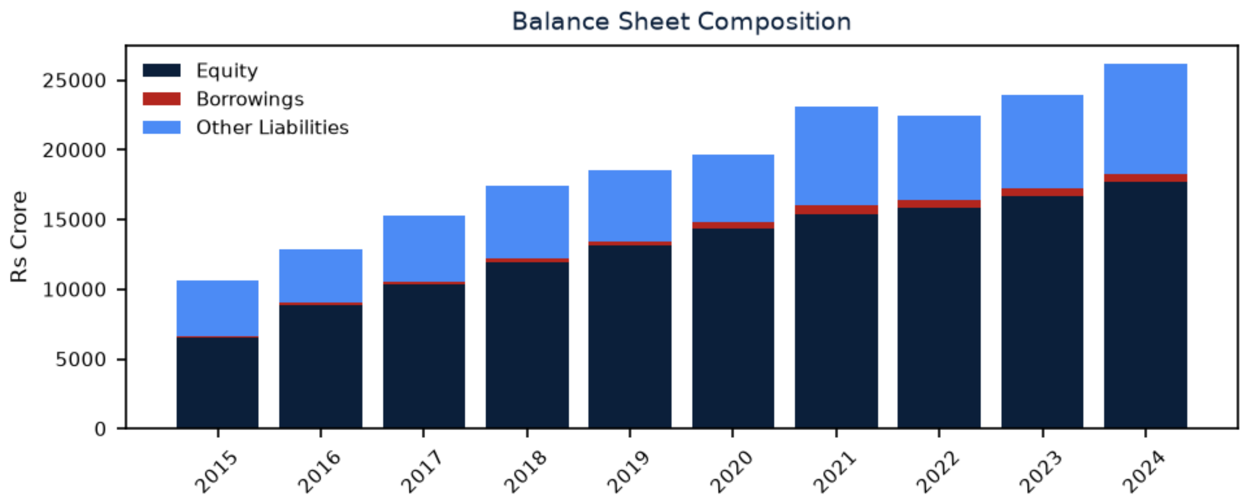
Hero MotoCorp Ltd

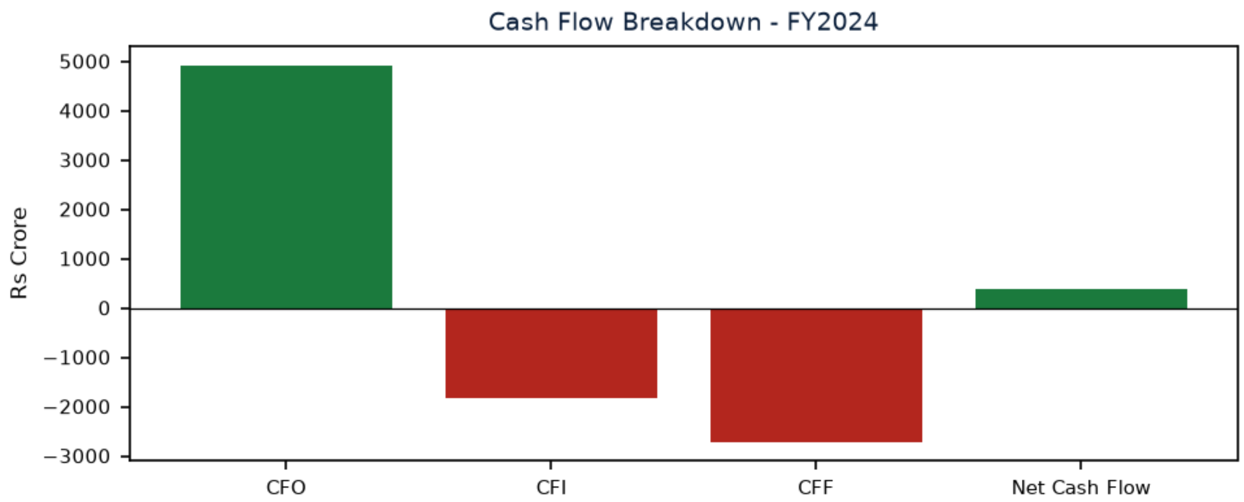
HEROMOTOCO

21.1% ROE	**177.9%** ROCE	**0.0x** D/E
86.2% OPM	**2.1%** Revenue CAGR 5yr	**1.5%** PAT CAGR 5yr









Pros

+ Operating profit margin above 25% indicates strong pricing power and cost discipline
+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Strong free cash flow generation over 5 years signals healthy business fundamentals
+ Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation Pattern

Reinvestor